

MARKET FUNDAMENTALS

	YOY Chg	Outlook
8.3% Vacancy Rate		
4.3M YTD Net Absorption, SF		
\$8.71 Asking Rent, PSF <i>(Overall, Net Asking Rent)</i>		

ECONOMIC INDICATORS

	YOY Chg	Outlook
4.3M Dallas/Fort Worth Employment*		
4.0% Dallas/Fort Worth Unemployment Rate*		
4.3% United States Unemployment Rate		

Source: BLS, Moody's Analytics
*Q4 2025

ECONOMY

Metro-level employment data for January 2026 was delayed by the government shutdown in November. As of Q4 2025, Dallas/Fort Worth (DFW) employment grew slightly at a pace of 0.4% year-over-year (YOY) to reach 4.3 million. Population growth continued at 110,040 new residents over the last 12 months, increasing 1.2% YOY.

Texas manufacturing and service firms indicated slowing growth in March in Dallas Fed surveys, with many noting an increase in uncertainty due to geopolitical events and potential supply chain disruptions. Nevertheless, firms in both sectors continued to expect growth in employment and capital expenditures over the next six months, indicating generally favorable conditions for industrial real estate.

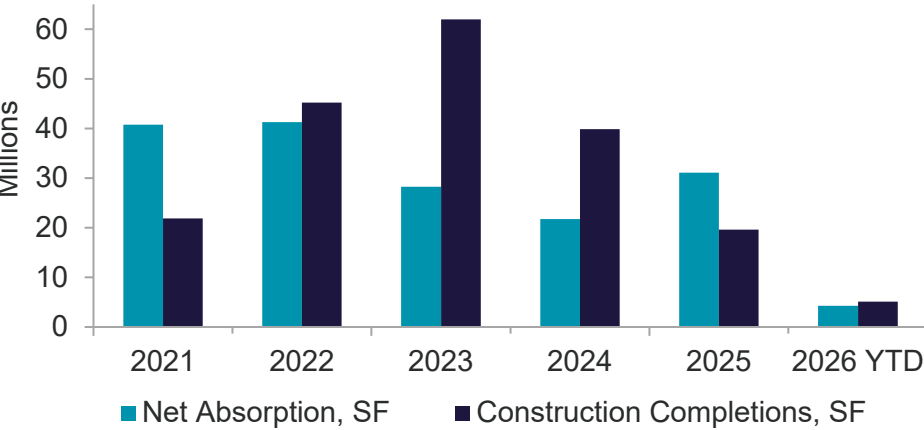
DEMAND

Leasing activity totaled 18.5 million square feet (msf), the strongest first quarter on record and the fourth highest quarterly total in Dallas history. In addition, leasing activity in Q4 2025 was revised up to 19.5 msf, the second highest quarterly total on record. As a result, leasing activity re-accelerated to 64.1 msf over the past 12 months.

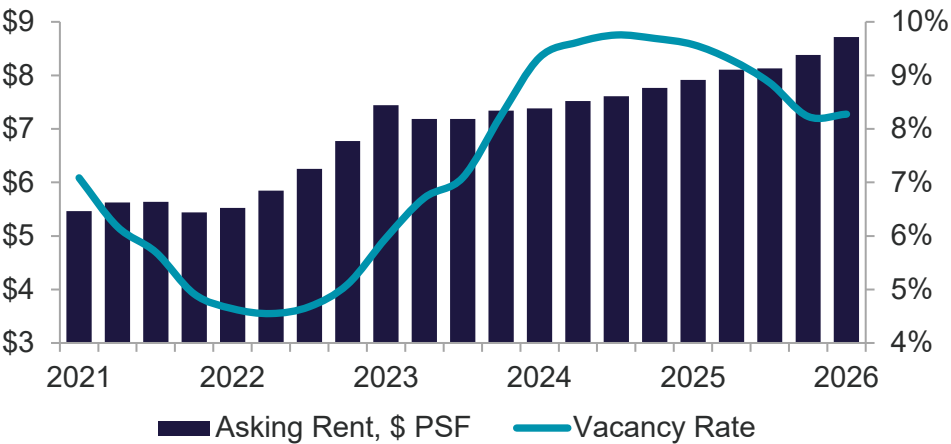
Demand was robust across all sectors, particularly in third party logistics, e-commerce, manufacturing, and data center-related suppliers, contractors, and servicers. 14 “big box” users over 500,000 sf leased 13.7 msf over the past 12 months, approaching the pace last observed in the post-pandemic boom of 2022 and 2023.

Quarterly net absorption reached positive 4.3 msf, decreasing 48.2% quarter-over-quarter (QOQ). This relatively soft performance was due to increased activity by large users that require more time to build out and physically occupy space. Subsequently, the Dallas market entered the second quarter with approximately 10.1 msf of quarterly net absorption teed up between known move-ins and move-outs.

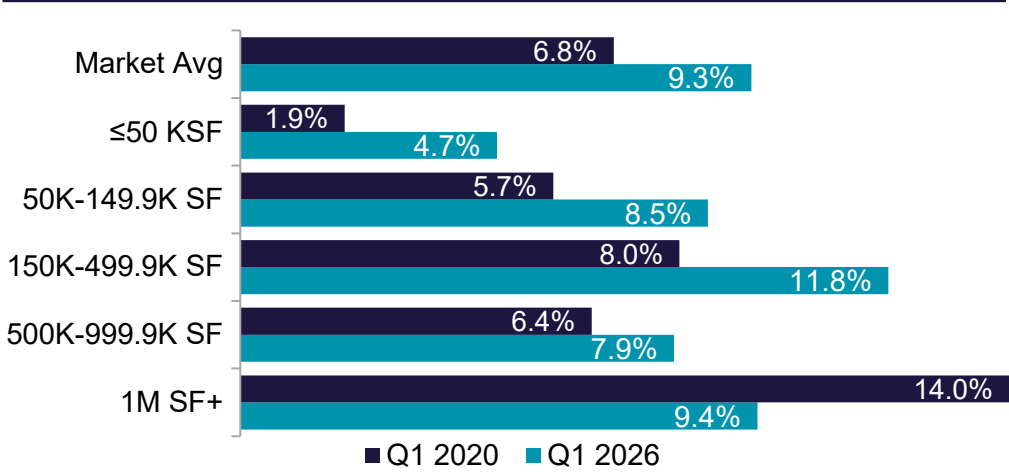
SPACE DEMAND / DELIVERIES



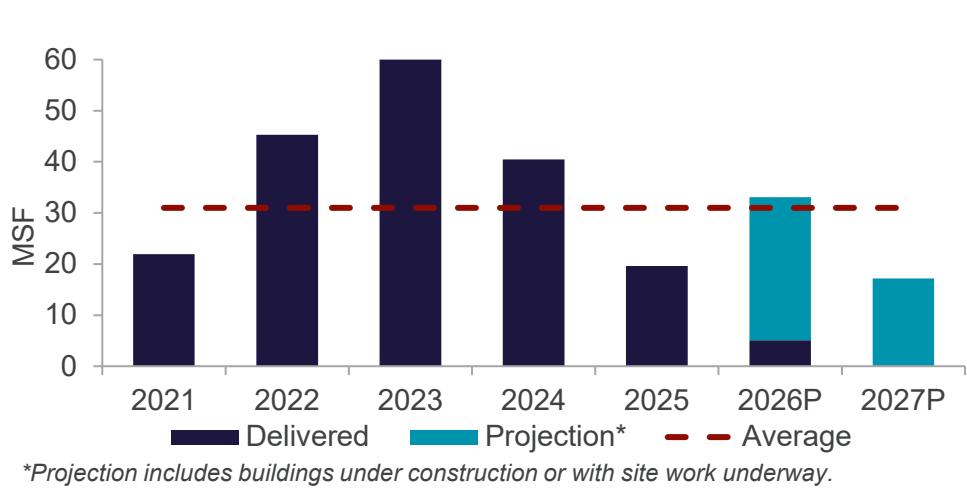
OVERALL VACANCY & ASKING RENT



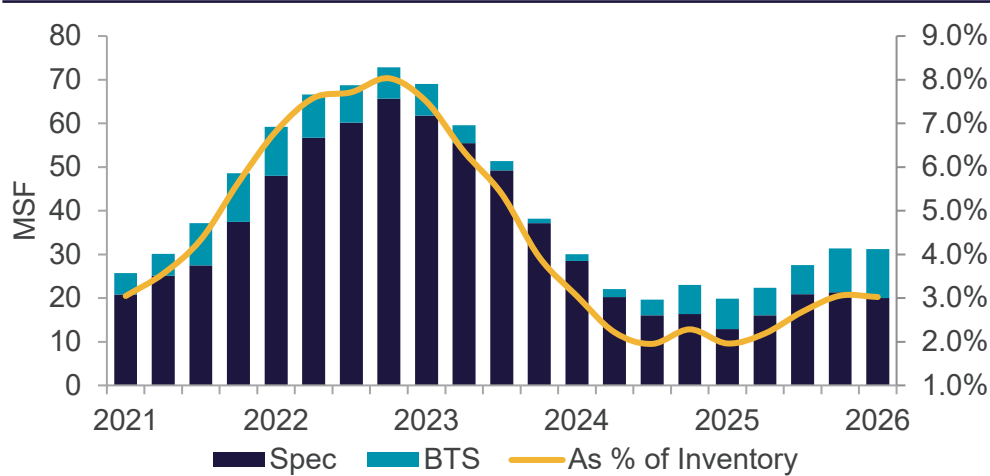
WHSE/DIST VACANCY BY BUILDING SIZE



ESTIMATED COMPLETIONS BY YEAR BUILT *



CONSTRUCTION PIPELINE



SUPPLY

Overall vacancy reached 8.3%, increasing 10 basis points (bps) QOQ. Nevertheless, vacancy decreased 130 bps YOY following robust demand and disciplined deliveries. Vacancy rates remain exceptionally tight in land-constrained in-fill submarkets such as Valwood/N Stemmons (4.3%), Walnut Hill/Stemmons (5.4%), and Richardson/Plano (5.8%). The East Dallas Suburbs and South Dallas submarkets have been primary beneficiaries of increased big box leasing with vacancy declining 8.5% and 5.8% YOY, respectively.

Warehouse/Distribution vacancy also fell to 9.3% and improved in most building size segments. Mid-size (150,000-499,999-sf) buildings were the only segment where vacancy remained above 10.0% due to the amount of recent speculative deliveries. On the other hand, vacancy rates in buildings above 1,000,000 sf have fallen well below pre-pandemic levels to 9.4% and will further tighten in subsequent quarters.

Deliveries totaled 5.1 msf in the first quarter, concentrated in the Alliance, DFW Airport, and Allen/McKinney submarkets. Construction activity remained flat at 31.2 msf or 3.0% of stock. Build-to-suit (BTS) projects continued at an above average pace of 11.2 msf or 35.9% of construction, the highest share since 2018. Construction of a speculative nature decreased 6.2% QOQ to 20.0 msf. Site work was underway on an additional 14.8 msf of new buildings at the end of Q1 2026. Combined with projects already under construction, Cushman & Wakefield projects deliveries will likely total 31.6 msf by year-end 2026.

Based on the recent pace of absorption and expected deliveries, market conditions remained ripe for additional speculative development of shallow bay (50,000-149,999 sf) and big box (500,000+ sf) buildings. Depending on submarket, mid-size (150,000-499,999 sf) buildings may need additional time to absorb recently delivered space.

PRICING

Asking rents reached a new high of \$8.74 net per square foot (psf), increasing 4.7% QOQ and 10.0% YOY. Above-average growth primarily reflected leasing of large blocks with lower rents, which strongly increased the weighted market average. Nevertheless, modest increases in market rents occurred in submarkets and building sizes where vacancy rates remained relatively tight.

Elevated vacancy continued to encourage landlords to offer better concessions for tenants, particularly in submarkets and building sizes with recently delivered space. On the other hand, landlords remained firm on face rents and 3.75% to 4.00% escalations to support asset prices at disposition.

OUTLOOK

- DFW remains well-positioned for long-term growth due to its central location, strong infrastructure, and continued population and employment expansion.
- Concessions remain favorable for tenants where landlords are focused on occupancy but have begun shifting to a more neutral position in submarkets and building sizes where vacancy has tightened.
- Robust leasing activity has eliminated most supply risk. Expected deliveries may increase overall vacancy by 40-50 bps or less depending on the pace of demand through 2026.

MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY* (SF)	UNDER CONSTR (SF)	YTD CONSTR COMPLETIONS (SF)	OVERALL WEIGHTED AVG NET RENT	WHSE/DIST WEIGHTED AVG NET RENT
DFW Airport	109,309,196	11,798,833	10.8%	347,795	347,795	3,011,365	3,773,077	1,176,332	\$10.93	\$10.75
Brookhollow/Trinity	49,315,777	3,371,614	6.8%	-9,502	-9,502	380,545	0	0	\$11.22	\$10.88
Walnut Hill/Stemmons	23,933,641	1,285,460	5.4%	-80,792	-80,792	153,271	243,472	0	\$10.41	\$10.07
North Dallas/Metropolitan	19,680,838	2,391,655	12.2%	5,555	5,555	192,355	0	0	\$9.97	\$8.19
Valwood/N Stemmons	51,580,019	2,200,606	4.3%	-300,661	-300,661	433,132	312,853	0	\$9.59	\$9.30
Far North/I-35	37,034,271	5,811,517	15.7%	583,208	583,208	1,453,152	367,969	377,371	\$8.55	\$8.41
Richardson/Plano	38,909,721	2,266,247	5.8%	-117,551	-117,551	288,660	755,455	0	\$11.30	\$10.42
Allen/McKinney	18,658,892	2,208,172	11.8%	192,698	192,698	611,264	1,106,487	1,042,450	\$10.36	\$10.32
Central Dallas	12,680,994	744,505	5.9%	0	0	0	0	0	\$9.65	\$8.05
Garland	47,222,699	3,191,889	6.8%	431,495	431,495	680,152	102,268	68,610	\$10.26	\$10.22
Mesquite	32,011,875	2,456,253	7.7%	451,031	451,031	841,737	396,938	203,488	\$7.84	\$7.79
East Dallas Suburbs	23,358,029	3,356,841	14.4%	890,038	890,038	1,760,197	1,442,721	0	\$7.87	\$7.84
Pinnacle/Turnpike	32,386,633	2,858,606	8.8%	-415,330	-415,330	379,900	0	0	\$7.46	\$7.46
Redbird	28,033,283	641,919	2.3%	211,937	211,937	268,408	408,946	0	\$6.30	\$6.24
South Dallas	101,035,211	10,646,473	10.5%	676,475	676,475	1,468,199	1,823,360	0	\$6.29	\$6.39
Ellis County	27,717,609	1,295,522	4.7%	-11,775	-11,775	287,439	2,496,641	0	\$7.63	\$7.36
Great Southwest	126,229,401	9,990,290	7.9%	-1,077,818	-1,077,818	1,438,807	2,862,595	190,328	\$9.20	\$9.05
DALLAS TOTAL	779,098,089	66,516,402	8.5%	1,776,803	1,776,803	13,648,583	16,092,782	3,058,579	\$8.91	\$8.66
North Fort Worth	58,272,739	3,689,764	6.3%	372,258	372,258	523,401	1,678,620	137,115	\$8.44	\$8.43
Alliance	84,968,782	7,567,987	8.9%	1,223,718	1,223,718	3,924,007	6,544,142	1,148,942	\$7.32	\$7.31
Central Fort Worth	15,873,545	291,744	1.8%	960	960	0	0	0	\$6.91	\$6.91
East Fort Worth	27,560,792	2,622,860	9.5%	-23,538	-23,538	164,965	0	0	\$8.87	\$8.95
West Fort Worth	7,721,062	365,503	4.7%	-7,000	-7,000	149,589	991,038	0	\$10.05	\$10.00
South Fort Worth	47,831,963	4,209,233	8.8%	936,805	936,805	132,044	4,193,043	752,300	\$7.03	\$6.98
Johnson County	10,594,606	133,084	1.3%	0	0	0	1,700,000	0	\$17.27	\$17.27
FORT WORTH TOTAL	252,823,489	18,880,175	7.5%	2,503,203	2,503,203	4,894,006	15,106,843	2,038,357	\$7.84	\$7.82
DALLAS/FORT WORTH TOTALS	1,031,921,578	85,396,577	8.3%	4,280,006	4,280,006	18,542,589	31,199,625	5,096,936	\$8.71	\$8.50
Manufacturing	100,003,561	1,372,441	1.4%	-264,587	-264,587	190,041	1,040,146	0	\$8.05	-
Office Service Center (Flex)	81,956,038	4,929,702	6.0%	-215,687	-215,687	580,859	225,092	0	\$12.88	-
Warehouse/Distribution	849,961,979	79,094,434	9.3%	4,760,280	4,760,280	17,771,689	29,934,387	5,096,936	\$8.50	-

*Leasing statistics include new leases and subleases, and exclude renewals, user purchases and self-developed build-to-suit projects.

KEY LEASE TRANSACTIONS Q1 2026

PROPERTY	SUBMARKET	TENANT	SF	TYPE*
Alliance Westport 24	Alliance	Stellar Energy Americas	1,148,942	New Lease
Northlake 35 Logistics Center - Bldg 1	Alliance	DSV International	1,049,022	New Lease
Innovation Ridge Logistics Park - Bldg 1	East Dallas Suburbs	Hayes Company	817,538	New Lease
Southport Logistics Center - Bldg 2	South Dallas	Logistics Plus	744,452	Renewal/Expansion
Exeter Westpark 1	Far North/I-35	HD Logistics & Warehousing	648,726	New Lease

*Renewals excluded from leasing activity.

A map of the Dallas-Fort Worth metropolitan area, divided into several regions. The regions are labeled as follows:

- FAR NORTH / I-35**
- ALLIANCE**
- NORTH FORT WORTH**
- WEST FORT WORTH**
- CENTRAL FORT WORTH**
- SOUTH FORT WORTH**
- EAST FORT WORTH**
- GREAT SOUTHWEST**
- DFW AIRPORT**
- VALWOOD / N STEMMONS**
- WALNUT HILL / STEMMONS**
- BROOKHOLLOW / TRINITY**
- PINNACLE / TURNPIKE**
- REDBIRD**
- SOUTH DALLAS**
- CENTRAL DALLAS**
- MESQUITE**
- GARLAND**
- EAST DALLAS SUBURBS**
- RICHARDSON / PLANO**
- ALLEN / MCKINNEY**

The map also shows major highways, including I-35, I-35W, I-35E, I-75, I-820, I-20, I-30, I-45, I-67, I-183, I-114, I-635, and I-175. Other labels include SRT, DNT, PGBT, and 12.

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